

INDEPENDENT AUDITOR'S REPORT

To the Members of Granules CZRO Private Limited

Report on the Audit of the Financial Statements**Opinion**

We have audited the accompanying financial statements of Granules CZRO Private Limited ("the Company"), which comprise the Balance sheet as at March 31, 2024, the Statement of Profit and Loss, including the statement of Other Comprehensive Income, the Cash Flow Statement and the Statement of Changes in Equity for the year then ended, and notes to the financial statements, including a summary of material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013, as amended ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2024, its loss including other comprehensive income, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs), as specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of our report. We are independent of the Company in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Other Information

The Company's Board of Directors is responsible for the other information. The other information comprises the Board of Director's report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether such other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.



Responsibility of Management for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.



- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the "Annexure 1" a statement on the matters specified in paragraphs 3 and 4 of the Order.
2. As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;
 - (c) The Balance Sheet, the Statement of Profit and Loss including the Statement of Other Comprehensive Income, the Cash Flow Statement and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account;
 - (d) In our opinion, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended;
 - (e) On the basis of the written representations received from the directors as on March 31, 2024 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2024 from being appointed as a director in terms of Section 164 (2) of the Act;
 - (f) With respect to the adequacy of the internal financial controls with reference to these financial statements and the operating effectiveness of such controls, refer to our separate Report in "Annexure 2" to this report;
 - (g) No managerial remuneration has been paid/ provided by the Company during the year;
 - (h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended in our opinion and to the best of our information and according to the explanations given to us;
 - i. The Company does not have any pending litigations which would impact its financial position;
 - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses;
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company;
 - iv. a) The management has represented that, to the best of its knowledge and belief, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person or entity, including foreign



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entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

b) The management has represented that, to the best of its knowledge and belief, no funds have been received by the Company from any person or entity, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

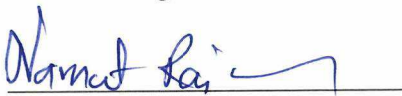
c) Based on such audit procedures performed that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.

- v. No dividend has been declared or paid during the year by the Company; and
- vi. Based on our examination which included test checks, the Company has used an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of audit trail feature being tampered with.

For **S.R. Batliboi & Associates LLP**

Chartered Accountants

ICAI Firm Registration Number: 101049W/E300004



Per Navneet Kabra

Partner

Membership Number: 102328

UDIN: 24102328BKEZLS9959



Place of Signature: Hyderabad

Date: May 15, 2024

Annexure 1 referred to the Independent Auditor's Report**Re: Granules CZRO Private Limited ('the Company')**

In terms of the information and explanations sought by us and given by the company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

- (i)
 - (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.
(B) The Company has not capitalized any intangible assets in the books of the Company and accordingly, the requirement to report on clause 3(i)(a)(B) of the Order is not applicable to the Company.
 - (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its property, plant and equipment by which all property, plant and equipment are verified in a phased manner over a period of 3 years. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets.
 - (c) There is no immovable property (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee), held by the Company and accordingly, the requirement to report on clause 3(i)(c) of the Order is not applicable to the Company.
 - (d) The Company has not revalued its Property, Plant and Equipment (including Right of use assets) or intangible assets during the year ended March 31, 2024.
 - (e) There are no proceedings initiated or are pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.
- (ii)
 - (a) The inventory has been physically verified by the management during the year. In our opinion, the frequency of verification by the management is reasonable and the coverage and procedure for such verification is appropriate. No discrepancies were noticed on verification between the physical stocks and the book records that were more than 10% in the aggregate of each class of Inventory.
 - (b) The Company has not been sanctioned working capital limits in excess of Rs. five crores in aggregate from banks or financial institutions during any point of time of the year on the basis of security of current assets. Accordingly, the requirement to report on clause 3(ii)(b) of the Order is not applicable to the Company.
- (iii)
 - (a) During the year the Company has not provided loans, advances in the nature of loans, stood guarantee or provided security to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(a) of the Order is not applicable to the Company.
 - (b) During the year the Company has not made investments, provided guarantees, provided security and granted loans and advances in the nature of loans to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(b) of the Order is not applicable to the Company.
 - (c) The Company has not granted loans and advances in the nature of loans to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(c) of the Order is not applicable to the Company.
 - (d) The Company has not granted loans or advances in the nature of loans to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(d) of the Order is not applicable to the Company.
 - (e) There were no loans or advance in the nature of loan granted to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(e) of the Order is not applicable to the Company.
 - (f) The Company has not granted any loans or advances in the nature of loans, either repayable on demand or without specifying any terms or period of repayment to companies, firms, Limited Liability Partnerships or any other parties. Accordingly, the requirement to report on clause 3(iii)(f) of the Order is not applicable to the Company.



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- (iv) There are no loans, investments, guarantees, and security in respect of which provisions of sections 185 and 186 of the Companies Act, 2013 are applicable and accordingly, the requirement to report on clause 3(iv) of the Order is not applicable to the Company.
- (v) The Company has neither accepted any deposits from the public nor accepted any amounts which are deemed to be deposits within the meaning of sections 73 to 76 of the Companies Act and the rules made thereunder, to the extent applicable. Accordingly, the requirement to report on clause 3(v) of the Order is not applicable to the Company.
- (vi) The Central Government has not specified the maintenance of cost records under Section 148(1) of the Companies Act, 2013, for the products/services of the Company.
- (vii)
 - (a) The Company is regular in depositing with appropriate authorities undisputed statutory dues including goods and services tax, provident fund, employees' state insurance, income-tax, duty of customs, cess and other statutory dues applicable to it. According to the information and explanations given to us and based on audit procedures performed by us, no undisputed amounts payable in respect of these statutory dues were outstanding, at the year end, for a period of more than six months from the date they became payable.
 - (b) There are no dues of goods and services tax, provident fund, employees' state insurance, income tax, customs duty, cess, and other statutory dues which have not been deposited on account of any dispute.
- (viii) The Company has not surrendered or disclosed any transaction, previously unrecorded in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year. Accordingly, the requirement to report on clause 3(viii) of the Order is not applicable to the Company.
- (ix)
 - (a) The Company did not have any outstanding loans or borrowings or interest thereon due to any lender during the year. Accordingly, the requirement to report on clause ix(a) of the Order is not applicable to the Company.
 - (b) The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.
 - (c) The Company did not have any term loans outstanding during the year hence, the requirement to report on clause (ix)(c) of the Order is not applicable to the Company.
 - (d) The Company did not raise any funds during the year hence, the requirement to report on clause (ix)(d) of the Order is not applicable to the Company.
 - (e) The Company does not have any subsidiary, associate or joint venture. Accordingly, the requirement to report on clause 3(ix)(e) of the Order is not applicable to the Company.
 - (f) The Company does not have any subsidiary, associate or joint venture. Accordingly, the requirement to report on Clause 3(ix)(f) of the Order is not applicable to the Company.
- (x)
 - (a) The Company has not raised any money during the year by way of initial public offer / further public offer (including debt instruments) hence, the requirement to report on clause 3(x)(a) of the Order is not applicable to the Company.
 - (b) The Company has complied with provisions of section 62 of the Companies Act, 2013 in respect of the private placement of shares during the year. The funds raised, have been used for the purposes for which the funds were raised.
- (xi)
 - (a) No material fraud by the Company or no material fraud on the Company has been noticed or reported during the year.
 - (b) During the year, no report under sub-section (12) of section 143 of the Companies Act, 2013 has been filed by secretarial auditor or by us in Form ADT – 4 as prescribed under Rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.
 - (c) As represented to us by the management, there are no whistle blower complaints received by the Company during the year.
- (xii) The Company is not a Nidhi Company as per the provisions of the Companies Act, 2013. Therefore, the requirement to report on clause 3(xii)(a), (b) and (c) of the Order is not applicable to the Company.



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- (xiii) **Chartered Accountants** Transactions with the related parties are in compliance with sections 188 of Companies Act, 2013 where applicable and the details have been disclosed in the notes to the financial statements, as required by the applicable accounting standards. The provisions of section 177 are not applicable to the Company and accordingly the requirements to report under clause 3(xiii) of the Order insofar as it relates to section 177 of the Act is not applicable to the Company.
- (xiv) (a) The Company has an internal audit system commensurate with the size and nature of its business.
(b) The internal audit reports of the Company issued till the date of the audit report, for the period under audit have been considered by us.
- (xv) The Company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence requirement to report on clause 3(xv) of the Order is not applicable to the Company.
- (xvi) (a) The provisions of section 45-IA of the Reserve Bank of India Act, 1934 (2 of 1934) are not applicable to the Company. Accordingly, the requirement to report on clause (xvi)(a) of the Order is not applicable to the Company.
(b) The Company is not engaged in any Non-Banking Financial or Housing Finance activities. Accordingly, the requirement to report on clause (xvi)(b) of the Order is not applicable to the Company.
(c) The Company is not a Core Investment Company as defined in the regulations made by Reserve Bank of India. Accordingly, the requirement to report on clause 3(xvi)(c) of the Order is not applicable to the Company.
(d) There is no Core Investment Company as a part of the Group, hence, the requirement to report on clause 3(xvi)(d) of the Order is not applicable to the Company.
- (xvii) The Company has incurred cash losses amounting to Rs. 4.13 Million in the current year and amounting to Rs. 4.38 Million in the immediately preceding financial year respectively.
- (xviii) There has been no resignation of the statutory auditors during the year and accordingly requirement to report on Clause 3(xviii) of the Order is not applicable to the Company.
- (xix) On the basis of the financial ratios disclosed in note 34 to the financial statements, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.



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- (xx)
- (a) The provisions of Section 135 to the Companies Act, 2013 in relation to Corporate Social Responsibility is not applicable to the Company. Accordingly, the requirement to report on clause 3(xx)(a) of the Order is not applicable to the Company.
 - (b) The provisions of Section 135 to the Companies Act, 2013 in relation to Corporate Social Responsibility is not applicable to the Company. Accordingly, the requirement to report on clause 3(xx)(b) of the Order is not applicable to the Company.

For **S. R. Batliboi & Associates LLP**

Chartered Accountants

ICAI Firm Registration Number: 101049W/E300004

Navneet K

per Navneet Kabra

Partner

Membership Number: 102328

UDIN: 24102328BKEZLS9959



Place of Signature: Hyderabad

Date: May 15, 2024

ANNEXURE 2 TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE FINANCIAL STATEMENTS OF GRANULES CZRO PRIVATE LIMITED**Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")**

We have audited the internal financial controls with reference to financial statements of Granules CZRO Private Limited ("the Company") as of March 31, 2024 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's Management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to these financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, as specified under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls, both issued by ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to these financial statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to these financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to these financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to these financial statements.

Meaning of Internal Financial Controls With Reference to these Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.



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Inherent Limitations of Internal Financial Controls With Reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial control with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by the ICAI.

For **S.R. Batliboi & Associates LLP**

Chartered Accountants

ICAI Firm Registration Number: 101049W/E300004



per Navneet Kabra

Partner

Membership Number: 102328

UDIN: 24102328BKEZLS9959

Place of Signature: Hyderabad

Date: May 15, 2024



Granules CZRO Private Limited
Balance sheet as at March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

	Notes	As at March 31, 2024	As at March 31, 2023
Assets			
Non-current assets			
Property, plant and equipment	3A	93.05	-
Right-of-use assets	3C	585.16	-
Capital work-in-progress	3B	204.61	0.46
Financial assets			
(i) Other financial assets	4	0.52	-
Other non-current assets	5	794.68	500.00
Total non-current assets		1,678.02	500.46
Current assets			
Inventories	6	0.75	-
Financial assets			
(i) Trade receivables	7	0.08	-
(ii) Cash and cash equivalents	8	27.41	95.13
(iii) Others	9	0.02	-
Other current assets	10	3.05	0.08
Total current assets		31.31	95.21
Total assets		1,709.33	595.67
Equity and liabilities			
Equity			
Equity share capital	11	1,498.66	500.00
Other equity	12	(19.12)	95.62
Total equity		1,479.54	595.62
Liabilities			
Non-current liabilities			
Financial liabilities			
(i) Lease liabilities	14	176.81	-
Provisions	13	0.11	-
Total non-current liabilities		176.92	-
Current liabilities			
Financial liabilities			
(i) Lease liabilities	14	5.62	-
(ii) Trade payables	16	-	-
(a) Total outstanding dues of micro enterprises and small enterprises		-	-
(b) Total outstanding dues of creditors other than micro enterprises and small enterprises		6.33	-
(iii) Other financial liabilities	15	39.52	-
Other current liabilities	17	1.40	0.05
Provisions	13	0.00	-
Total current liabilities		52.87	0.05
Total liabilities		229.79	0.05
Total equity and liabilities		1,709.33	595.67

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Material accounting policies

The accompanying notes are an integral part of the financial statements.

As per our report of even date attached

for S.R. Batliboi and Associates LLP

Chartered Accountants

Firm registration number: 101049W/E300004


Navneet Kabra
 Partner
 Membership No : 102328



Place: Hyderabad
 Date: May 15, 2024

for and on behalf of the Board of Directors of

Granules CZRO Private Limited

CIN : U24110TG2023PTC170481



Dr. Krishna Prasad Chigurupati
 Director
 DIN : 00020180


Mukesh Surana
 Chief Financial Officer

Place: Hyderabad
 Date: May 15, 2024



Priyanka Chigurupati
 Director
 DIN : 01793431


Chaitanya Tummala
 Company Secretary

Granules CZRO Private Limited
Statement of profit and loss for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

		For the year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
	Notes		
Income			
Revenue from operations	18	0.06	-
Other income	19	0.00	-
Total income		0.06	-
Expenses			
Cost of materials consumed	20	0.25	-
Changes in inventories of work-in-progress and finished goods	21	(0.02)	-
Employee benefit Expenses	22	2.33	-
Depreciation and amortisation expense	23	0.23	-
Other expenses	24	1.63	4.38
Total expenses		4.42	4.38
Loss before tax		(4.36)	(4.38)
Tax expense	29	-	-
(i) Current tax		-	-
(ii) Deferred tax		-	-
Total tax expense		-	-
Loss for the year/period		(4.36)	(4.38)
Other comprehensive income (OCI)			
Items that will be reclassified subsequently to profit or loss		-	-
Items that will not be reclassified subsequently to profit or loss		-	-
Other comprehensive income for the period		-	-
Total comprehensive income for the period		(4.36)	(4.38)
Earnings per share:			
Equity shares of par value of Rs. 10 each	25		
Basic (Rs.)		(0.04)	(0.43)
Diluted (Rs.)		(0.04)	(0.43)
Material accounting policies	2		
The accompanying notes are an integral part of the financial statements.			
As per our report of even date attached			

for S.R. Batliboi and Associates LLP

Chartered Accountants

Firm registration number: 101049W/E300004

Navneet Kabra

Navneet Kabra

Partner

Membership No : 102328



for and on behalf of the Board of Directors of

Granules CZRO Private Limited

CIN : U24110TG2023PTC170481

Dr. Krishna Prasad Chigurupati

Dr. Krishna Prasad Chigurupati

Director

DIN : 00020180

Mukesh Surana

Mukesh Surana

Chief Financial Officer

Priyanka Chigurupati

Priyanka Chigurupati

Director

DIN : 01793431

Chaitanya Tummala

Chaitanya Tummala

Company Secretary

Place: Hyderabad

Date: May 15, 2024

Place: Hyderabad

Date: May 15, 2024



Granules CZRO Private Limited

Statement of changes in equity for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

A. Equity Share Capital

	Balance at the beginning of the period/year	Shares issued during the period	Shares bought back during the year	Balance at the end of the current year
March 31, 2024	500.00	998.66	-	1,498.66
March 31, 2023	-	500.00	-	500.00

B. Other Equity

Particulars	Share application money pending allotment	Reserves and Surplus	Other comprehensive income	Total attributable to owners of the company
		Retained earnings		
Transactions with owners of the Company				
Share application money	100.00	-	-	100.00
Total comprehensive loss for the period				
Loss for the period	-	(4.38)	-	(4.38)
Balance as on March 31, 2023	100.00	(4.38)	-	95.62
Issue of shares	(100.00)	-	-	(100.00)
Loss for the year	-	(4.36)	-	(4.36)
Transaction cost in relation to issue of equity shares	-	(10.38)	-	(10.38)
Balance as on March 31, 2024	-	(19.12)	-	(19.12)

The accompanying notes are an integral part of the financial statements.

As per our report of even date attached

for S.R. Batliboi and Associates LLP

Chartered Accountants

Firm registration number: 101049W/E300004

Navneet Kabra

Navneet Kabra

Partner

Membership No : 102328



Place: Hyderabad

Date: May 15, 2024

for and on behalf of the Board of Directors of

Granules CZRO Private Limited

CIN : U24110TG2023PTC170481

Dr. Krishna Prasad Chigurupati

Dr. Krishna Prasad Chigurupati

Director

DIN : 00020180

Mukesh Surana

Mukesh Surana

Chief Financial Officer

Place: Hyderabad

Date: May 15, 2024

Priyanka Chigurupati

Priyanka Chigurupati

Director

DIN : 01793431

T. Chaitanya Tummala

Chaitanya Tummala

Company Secretary



Granules CZRO Private Limited

Statement of cash flows for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

	For the year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Cash flow from/(used in) operating activities		
Loss before tax	(4.36)	(4.38)
<i>Adjustments to reconcile profit before tax to net cash flows</i>		
Depreciation and amortisation expense	0.23	-
Operating loss before working capital changes	(4.13)	(4.38)
<i>Movements in working capital:</i>		
Increase in trade receivables	(0.08)	-
Increase in inventories	(0.75)	-
Increase in other assets	(3.09)	(0.08)
Increase in trade payables, other liabilities and provisions	8.87	0.05
Cash generated from/(used in) operations	0.82	(4.41)
Taxes paid (net of refunds)	-	-
Net cash flow generated from/(used in) operating activities	(A) 0.82	(4.41)
Cash flow used in investing activities		
Purchase of Property, plant and equipment, including capital work-in-progress, capital advances and payables for capital creditors	(542.53)	(0.46)
Investment in bank deposits	(0.42)	0.00
Net cash flow used in investing Activities	(B) (542.95)	(0.46)
Cash flow from financing activities		
Share application money received from Holding Company	-	100.00
Proceeds from issuance of shares	480.00	-
Repayment of lease liability	(5.58)	-
Net cash flow generated from financing activities	(C) 474.42	100.00
Net increase in cash and cash equivalents	(A+B+C) (67.71)	95.13
Cash and cash equivalents at the beginning of the year/period	95.13	-
Cash and cash equivalents at the end of the year	27.42	95.13
Components of cash and cash equivalents:		
Cash on hand	0.01	-
Balances with banks		
On current accounts	27.41	95.13
Total cash and cash equivalents	27.42	95.13
Changes in liabilities arising from financing activities		Lease liabilities-Non Current and Current
Opening as on March 31, 2022		-
Finance cost		-
Additions		-
Payment of lease liabilities		-
Closing as on March 31, 2023		-
Additions		178.57
Finance cost		9.44
Payment of lease liabilities		(5.58)
Closing as on March 31, 2024		182.43

The above cash flow statement has been prepared under the "Indirect Method" as set out in the Indian Accounting Standard (Ind AS-7) - "Statement of Cash Flows".

The accompanying notes are an integral part of the financial statements.

As per our report of even date attached

for S.R. Batliboi and Associates LLP

Chartered Accountants

Firm registration number: 101049W/E300004



Navneet Kabra

Partner

Membership No : 102328



for and on behalf of the Board of Directors of

Granules CZRO Private Limited

CIN : U24110TG2023PTC170481



Dr. Krishna Prasad Chigurupati

Director

DIN : 00020180



Mukesh Surana

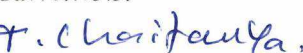
Chief Financial Officer



Priyanka Chigurupati

Director

DIN : 01793431



Chaitanya Tummala

Company Secretary

Place: Hyderabad

Date: May 15, 2024

Place: Hyderabad

Date: May 15, 2024



Granules CZRO Private Limited

Notes to financial statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

1 Company overview

1.1 Reporting entity

Granules CZRO Private Limited ("CZRO" or "the Company") is a company domiciled in India with its registered office situated at Hyderabad, Telangana. The Company has been incorporated under the provisions of Indian Companies Act. The Company is primarily involved in the manufacturing and selling of key starting materials (KSMs).

1.2 Basis of preparation of financial statements

a) Statement of compliance

The financial statements have been prepared in accordance with Indian Accounting Standards (Ind AS) as per the Companies (Indian Accounting Standards) Rules, 2015 notified under Section 133 of Companies Act, 2013 (the 'Act') and other relevant provisions of the Act.

These financial statements have been prepared for the Company as a going concern on the basis of relevant Ind AS that are effective at the Company's annual reporting date, March 31, 2024. These financial statements were authorised for issuance by the Company's Board of Directors on May 15, 2024.

The financial statements are presented in INR and all values are rounded to the nearest millions, except when otherwise indicated.

Details of the Company's material accounting policies are included in Note 2.

b) Current versus non-current classification

All assets and liabilities have been classified as current and non-current as per the Company's normal operating cycle.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing and their realisation in cash and cash equivalents. The Company has identified 12 months as its operating cycle.

c) Functional and presentation currency

These financial statements are presented in Indian rupees (INR), which is also the functional currency of the Company. All amounts have been rounded-off to the nearest million, unless otherwise indicated.

d) Basis of measurement

These financial statements have been prepared on the historical cost basis, except for the following items:

- Certain financial assets and liabilities are measured at fair value or amortised cost.
- Net defined benefit assets/(liability) are measured at fair value of plan assets, less present value of defined benefit obligations.
- Assets held for sale are measured at fair value less cost to sell.

e) Use of estimates and judgements

The preparation of the financial statements in conformity with Ind AS requires management to make estimates, judgements and assumptions. These estimates, judgements and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and reported amounts of revenues and expenses during the period. Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.



Granules CZRO Private Limited

Notes to financial statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the financial statements is included in the following notes:

- Note 1.2(c) - Assessment of functional currency;
- Note 2(a) - Financial instruments;

f) Measurement of fair values

Accounting policies and disclosures require measurement of fair value for both financial and non-financial assets. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company. The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

2 Material accounting policies

a. Financial instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and financial liability or equity instrument of another entity.

i. Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Company becomes a party to the contractual provisions of the instrument.

Financial assets and liabilities are initially measured at fair values except for trade receivable which are initially measured at transaction price. Transaction costs that are directly attributable to the acquisition or issue of financial assets and liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial assets or financial liability.



Granules CZRO Private Limited

Notes to financial statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

ii. Classification and subsequent measurement

Financial assets

On initial recognition, a financial asset is classified and, measured at

- amortised cost;
- Fair value through other comprehensive income ('FVOCI') – debt investment;
- FVOCI – equity investment; or
- Fair value through profit and loss ('FVTPL')

Financial assets are not reclassified subsequent to their initial recognition, except if and in the period the Company changes its business model for managing financial assets.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- the asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity investment that is not held for trading, the Company may irrevocably elect to present subsequent changes in the investment's fair value in OCI (designated as FVOCI – equity investment). This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets: subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in statement of profit and loss.
Financial assets at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in statement of profit and loss. Any gain or loss on derecognition is recognised in statement of profit and loss.



Granules CZRO Private Limited**Notes to financial statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income under the effective interest method, foreign exchange gains and losses and impairment are recognised in statement of profit and loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to statement of profit and loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in statement of profit and loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are not reclassified to statement of profit and loss.

Financial liabilities: classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held for-trading, or it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in statement of profit and loss. Financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in statement of profit and loss. Any gain or loss on derecognition is also recognised in statement of profit and loss.

iii. Derecognition**Financial assets**

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and does not retain control of the financial asset.

If the Company enters into transactions whereby it transfers assets recognised on its balance sheet, but retains either all or substantially all of the risks and rewards of the transferred assets, the transferred assets are not derecognised.

Financial liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

The Company also derecognises a financial liability when its terms are modified and the cash flows under the modified terms are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and the new financial liability with modified terms is recognised in statement of profit and loss.

iv. Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the balance sheet when, and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.



Granules CZRO Private Limited

Notes to financial statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

v. Cash and cash equivalents

Cash and cash equivalent in the balance sheet comprise cash at banks and on hand and short-term deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value. For the purpose of the statement of cash flows, cash and cash equivalents consist of cash and short-term deposits, as defined above, net of outstanding bank overdrafts as they are considered an integral part of the Company's cash management. Cash and cash equivalents consist of balances with banks which are unrestricted for withdrawal and usage.

b. Foreign currency

Transactions in foreign currency are translated at the exchange rates prevailing on the date of the transactions. Monetary assets and liabilities denominated in foreign currency are restated at the prevailing year end rates. The resultant gain/loss upon such restatement along with the gain/loss on account of foreign currency transactions are accounted in the Statement of Profit and Loss, except exchange differences arising from the translation of the qualifying cash flow hedges to the extent that the hedges are effective which are recognised in OCI.

c. Property, plant and equipment

i. Recognition and measurement

Items of property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost of an item or property, plant and equipment comprises its purchase price, import duties and non-refundable purchase taxes, after deducting trade discounts and rebates, any directly attributable cost of bringing the item to its working condition for its intended use and estimated costs of dismantling and removing the item and restoring the site on which it is located.

The cost of a self-constructed item of property, plant and equipment comprises the cost of materials and direct labour, any other costs directly attributable to bringing the item to its working condition for its intended use, and estimated costs of dismantling and removing the item and restoring the site on which it is located.

If significant parts of an item of property, plant and equipment have different useful lives, then they are accounted for as separate items (major components) of property, plant and equipment.

Any gain or loss on disposal of an item of property plant and equipment is recognised in statement of profit and loss.

Cost of assets not ready for intended use, as on the balance sheet date, is shown as capital work-in-progress.

ii. Subsequent expenditure

Subsequent expenditure related to an item of tangible fixed asset is capitalised only if it increases the future benefits from the existing assets beyond its previously assessed standards of performance.

iii. Depreciation

Depreciation is calculated on cost of items of property, plant and equipment less their estimated residual values over their estimated useful lives using the straight-line method.

Depreciation is provided based on useful life of the assets as prescribed in Schedule II of companies Act, 2013.

Depreciation method, useful lives and residual values are reviewed at each financial year-end and adjusted if appropriate.

Depreciation on additions (disposals) is provided on a pro-rata basis i.e. from (upto) the date on which asset is ready for use (disposed off).



Granules CZRO Private Limited

Notes to financial statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

iv. Capital advances

Advances paid towards acquisition of Property, plant and equipment outstanding at each balance sheet date are shown under other non-current assets as capital advances.

d. Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on the monthly moving weighted average method, and includes expenditure incurred in acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their present location and condition. In the case of manufactured inventories and work-in-progress, cost includes an appropriate share of fixed production overheads based on normal operating capacity.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses. The net realisable value of work-in-progress is determined with reference to the selling prices of related finished products.

Raw materials, components and other supplies held for use in the production of finished products are not written down below cost except in cases where material prices have declined and it is estimated that the cost of the finished products will exceed their net realisable value.

The comparison of cost and net realisable value is made on an item-by-item basis.

The factors that the Company considers in determining the allowance for slow moving, obsolete and other non-saleable inventory include estimated shelf life, planned product discontinuances, price changes, ageing of inventory and introduction of competitive new products, to the extent each of these factors impact the Company's business and markets. The Company considers all these factors and adjusts the inventory provision to reflect its actual experience on a periodic basis.

e. Impairment

i. Financial assets (other than at fair value)

The Company assesses at each date of balance sheet whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. In determining the allowances for doubtful trade receivables, the Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and is adjusted for forward looking information. The expected credit loss allowance is based on the ageing of the receivables that are due and allowance rates used in the provision matrix. For all other financial assets, expected credit losses are measured at an amount equal to the 12-months expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

The Company assumes that the credit risk on a financial asset has increased significantly if it is more than the 270 days over and above the usual credit period.

The Company considers a financial asset to be in default when the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held).

Evidence that a financial asset is credit impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or being past due over a reasonable period of credit
- the restructuring of a loan or advance by the Company on terms that the Company would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation;



Granules CZRO Private Limited**Notes to financial statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

In case of investments, the company reviews its carrying value of investments carried at cost annually, or more frequently, when there is indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for.

ii. Tangible and intangible assets

Property, plant and equipment and intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

f. Employee benefits**i. Gratuity**

The Company provides for gratuity, a defined benefit plan ("the Gratuity Plan") covering the eligible employees of the Company. The Gratuity Plan provides a lump-sum payment to vested employees at retirement, death, incapacitation or termination of employment, of an amount based on the respective employee's salary and the tenure of the employment with the Company.

Liability with regard to the Gratuity Plan are determined by actuarial valuation, performed by an independent actuary, at each balance sheet date using the projected unit credit method.

The Company recognises the net obligation of a defined benefit plan as a liability in its balance sheet. Gains or losses through re-measurement of the net defined benefit liability are recognised in other comprehensive income and are not reclassified to profit and loss in the subsequent periods. The actual return of the portfolio of plan assets, in excess of the yields computed by applying the discount rate used to measure the defined benefit obligation is recognised in other comprehensive income. The effect of any plan amendments are recognised in the statement of profit and loss.

ii. Provident fund

Eligible employees of the Company receive benefits from provident fund, which is a defined contribution plan. Both the eligible employees and the Company make monthly contributions to the Government administered provident fund scheme equal to a specified percentage of the eligible employee's salary. Amounts collected under the provident fund plan are deposited with in a government administered provident fund. The Company has no further obligation to the plan beyond its monthly contributions.

iii. Compensated absences

The Company's current policies permit certain categories of its employees to accumulate and carry forward a portion of their unutilised compensated absences and utilise them in future periods or receive cash in lieu thereof in accordance with the terms of such policies. The Company measures the expected cost of accumulating compensated absences as the additional amount that the Company incurs as a result of the unused entitlement that has accumulated at the balance sheet date. Such measurement is based on actuarial valuation as at the balance sheet date carried out by a qualified actuary. Re-measurements are recognised in the statement of profit and loss in the period in which they arise.



Granules CZRO Private Limited

Notes to financial statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

g. Provisions (other than for employee benefits)

A provision is recognised if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows (representing the best estimate of the expenditure required to settle the present obligation at the balance sheet date) at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance cost. Expected future operating losses are not provided for.

Contingent liabilities and contingent assets

A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources. Where there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

Contingent assets are not recognised in the financial statements. A contingent asset is disclosed where an inflow of economic benefits is probable. Contingent assets are assessed continually and, if it is virtually certain that an inflow of economic benefits will arise, the asset and related income are recognised in the period in which the change occurs.

Onerous contracts

A contract is considered to be onerous when the expected economic benefits to be derived by the Company from the contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision for an onerous contract is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before such a provision is made, the Company recognises any impairment loss on the assets associated with that contract.

h. Earnings per share ('EPS')

The earnings considered in ascertaining the Company's Earnings Per Share (EPS) comprise net profit after tax (and includes the post-tax effect of any extra ordinary items). The number of shares used in computing basic EPS is the weighted average number of shares outstanding during the year. Dilutive potential equity shares are deemed to be converted as of the beginning of the year, unless they have been issued at a later date. The number of shares used for computing the diluted EPS is the weighted average number of shares outstanding during the year after considering the dilutive potential equity shares.

i. Segment Reporting

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Company's other components, and for which discrete financial information is available. Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The Chairperson and Managing Director of the Company is responsible for allocating resources and assessing performance of the operating segments and accordingly is identified as the Chief Operating Decision Maker (CODM). All operating segments' operating results are reviewed regularly by the CODM to make decisions about resources to be allocated to the segments and assess their performance.

The Company operates in one reportable business segment i.e. "Pharmaceuticals".



Granules CZRO Private Limited

Notes to financial statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

j. Revenue

Sale of goods

Revenue from sale of goods is recognised when a promise in a customer contract (performance obligation) has been satisfied by transferring control over the promised goods to the customer. Control is usually transferred upon shipment, delivery to, upon receipt of goods by the customer, in accordance with the delivery and acceptance terms agreed with the customers. The amount of revenue to be recognised is based on the consideration expected to be received in exchange for goods, excluding applicable discounts, sales returns and any taxes or duties collected on behalf of the government which are levied on sales such as GST where applicable. Any additional amounts based on terms of agreement entered into with customers, is recognised in the period when the collectability becomes probable and a reliable measure of the same is available.

Sales return allowances

The Company accounts for sales return by recording an allowance for sales return concurrent with the recognition of revenue at the time of a product sale. The allowance is based on Company's estimate of expected sales returns. The estimate of sales return is determined primarily by the Company's historical experience in the markets in which the Company operates.

Export incentives

Export incentives are recognised as income when the right to receive credit as per the terms of the scheme is established in respect of the exports made and where there is no significant uncertainty regarding the ultimate collection of the relevant export proceeds.

Interest income or expense

Interest income or expense is recognised using the effective interest method on time proportion method.

k. Contract Balances

Trade receivable

A receivable is recognised if an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets in section (a) Financial instruments – initial recognition and subsequent measurement.

l. Leases

Lessee

The Company's lease asset classes primarily consist of leases for buildings and plant and machinery.

At inception of a contract, the Company assesses whether a contract is, or contains, a lease as per the requirement of Ind AS 116. At inception or on reassessment of a contract that contains a lease component, the Company allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices. However, for the leases of buildings in which it is a lessee, the Company has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.



Granules CZRO Private Limited

Notes to financial statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

The Company elected to use the following practical expedients on initial application:

- Applied a single discount rate to a portfolio of leases with similar characteristics.
- Applied the exemption not to recognise right-of-use assets and liabilities for leases with less than 12 months of lease term on the date of initial application.

Excluded the initial direct costs from the measurement of the right-of-use asset at the date of initial application.

The Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use assets is subsequently measured at cost less any accumulated depreciation, accumulated impairment losses, if any and adjusted for any remeasurement of the lease liability. The right-of-use assets is depreciated using the straight-line method from the commencement date over the shorter of lease term or useful life of right-of-use asset. The estimated useful lives of right-of-use assets are determined on the same basis as those of property, plant and equipment. Right-of-use assets are tested for impairment whenever there is any indication that their carrying amounts may not be recoverable. Impairment loss, if any, is recognised in the Statement of Profit and Loss.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the Company's incremental borrowing rate. The lease liability is subsequently remeasured by

Lease payments included in the measurement of the lease liability comprise the following:

- a. Fixed payments including in-substance fixed payments
- b. Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date
- c. Amounts expected to be payable under a residual value guarantee and
- d. the exercise price under a purchase option that the Company and its associate is reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Company is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Company's estimate of the amount expected to be payable under a residual value guarantee, if the Company changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero. The Company presents right-of-use assets that do not meet the definition of investment property in 'property, plant and equipment' and lease liabilities in 'financial liabilities' in the statement of financial position.



Granules CZRO Private Limited

Notes to financial statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

m. Income tax

Income tax comprises current and deferred income tax. Income tax expense is recognised in statement of profit and loss except to the extent that it relates to a business combination or to an item recognised directly in equity or in other comprehensive income.

i. Current tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. Current tax for current year and prior periods is recognised at the amount expected to be paid or recovered from the tax authorities, using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

Current tax assets and current tax liabilities are offset only if there is a legally enforceable right to set off the recognised amounts and it is intended to realise the asset and settle the liability on a net basis or simultaneously.

ii. Deferred tax

Deferred income tax assets and liabilities are recognised for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements except when:

- temporary differences arising on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss at the time of transaction;
- temporary differences related to investments in subsidiaries, associates and joint arrangements to the extent that the Company is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future; and
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred income tax assets and liabilities are measured using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date and are expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled.

The effect of changes in tax rates on deferred income tax assets and liabilities is recognised as income or expense in the period that includes the enactment or substantive enactment date. A deferred income tax assets is recognised to the extent it is probable that future taxable income will be available against which the deductible temporary timing differences and tax losses can be utilised.

n. Borrowing cost

Borrowing costs are interest and other costs (including exchange differences relating to foreign currency borrowings to the extent that they are regarded as an adjustment to interest costs) incurred in connection with the borrowing of funds. Borrowing costs directly attributable to acquisition or construction of an asset which necessarily take a substantial period of time to get ready for their intended use are capitalised as part of the cost of that asset. Other borrowing costs are recognised as an expense in the period in which they are incurred.

o. Recent Pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. For the year ended March 31, 2024, MCA has not notified any new standards or amendments to the existing standards applicable to the Company.



Granules CZRO Private Limited
Notes to financial statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

3A. Property, plant and equipment

	Lease Hold Improvements	Plant and equipment	Total
Gross carrying amount			
At March 31, 2023	-	-	-
Additions	73.53	19.75	93.28
Disposals	-	-	-
At March 31, 2024	73.53	19.75	93.28
Accumulated depreciation			
At March 31, 2023	-	-	-
Depreciation for the year	0.15	0.08	0.23
Disposals	-	-	-
At March 31, 2024	0.15	0.08	0.23
Net carrying amount			
At March 31, 2023	-	-	-
At March 31, 2024	73.38	19.67	93.05

3B. Capital work-in-progress

At March 31, 2023	0.46
At March 31, 2024	204.61

Capital work -in -Progress- Movement

Particulars	March 31, 2024	March 31, 2023
Balance at the beginning of the year	0.46	NA
Additions*	297.43	0.46
Capitalised during the year	(93.28)	-
Balance at the end	204.61	0.46

*Includes finance cost capitalized amounting to Rs. 9.44 millions (March 31, 2023: Nil)

Ageing Schedule for Capital work -in -Progress as below

	Capital work-in-progress	Amount in Capital work-in-Progress for a period of				Total
		Less than 1 year	1-2 years	2-3 years	More than 3 years	
March 31, 2024	Projects in progress	204.61	-	-	-	204.61
	Total	204.61	-	-	-	204.61
March 31, 2023	Projects in progress	0.46	-	-	-	0.46
	Total	0.46	-	-	-	0.46

i) There is no project which is temporarily suspended.

ii) Project execution plans are modulated basis capacity requirement assessment on an annual basis and all the projects are executed as per rolling plans.

iii) Projects in progress are neither overdue nor exceeds its cost when compared to its original plan during the current or previous year.

iv) For contractual commitments - refer note 27.

v) The Company has not revalued its property, plant and equipment during the current year

3C. Right-of-use assets

	Buildings	Total
Gross carrying amount		
At March 31, 2023	-	-
Additions	597.23	597.23
Deletions	-	-
At March 31, 2024	597.23	597.23
Accumulated depreciation		
At March 31, 2023	-	-
Depreciation for the year	12.07	12.07
Deletions	-	-
At March 31, 2024	12.07	12.07
Net carrying amount		
At March 31, 2023	-	-
At March 31, 2024	585.16	585.16

*Depreciation on Right-of-use assets of Rs. 12.07 million (March 31, 2023: Rs.Nil) capitalized during the year.



Granules CZRO Private Limited
Notes to Financial Statements for the year ended March 31, 2024
(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

4. Other financial assets

	As at March 31, 2024	As at March 31, 2023
Security deposits	0.10	-
Deposits with original maturity of more than 12 months	0.42	-
Total	0.52	-

5. Non-current (Unsecured, considered good)

	As at March 31, 2024	As at March 31, 2023
Capital Advances	794.68	500.00
Total	794.68	500.00

6. Inventories (at lower of cost and net realisable value)

	As at March 31, 2024	As at March 31, 2023
Raw materials	0.56	-
Packing materials	0.17	-
Finished goods	0.02	-
Total	0.75	-

7. Trade receivables (Unsecured)

	As at March 31, 2024	As at March 31, 2023
(a) Considered good	0.08	-
Less: Allowance for doubtful trade receivables/credit loss	-	-
(A)	0.08	-
(b) Significant increase in credit risk	-	-
(c) Credit impaired	-	-
Less: Allowance for doubtful trade receivables/credit loss	-	-
(B)	-	-
Total	(C=A+B)	0.08

Trade receivables are non-interest bearing and are generally with credit period upto 90 days.

The Company's exposure to credit and currency risks, and loss allowances related to trade receivables are disclosed in Note 32.

Ageing Schedule for Trade receivables as below
As at March 31, 2024

Particulars	Outstanding for following periods from due date of payment						Total
	Not Due	< 6 months	6 months - 1 year	1-2 Years	2-3 years	> 3 years	
(i) Undisputed Trade receivables - considered good	0.08	-	-	-	-	-	0.08
(ii) Undisputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-	-
(iii) Undisputed Trade Receivables - credit impaired	-	-	-	-	-	-	-
(iv) Disputed Trade Receivables - considered good	-	-	-	-	-	-	-
(v) Disputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-	-
(vi) Disputed Trade Receivables - credit impaired	-	-	-	-	-	-	-
Total	0.08	-	-	-	-	-	0.08

8. Cash and cash equivalents

	As at March 31, 2024	As at March 31, 2023
Cash on hand	0.01	-
Balance with banks:		
On current accounts	27.40	95.13
Total	27.41	95.13

9. Other financial assets

	As at March 31, 2024	As at March 31, 2023
Advance to employees	0.02	-
Total	0.02	-

10. Other current assets

	As at March 31, 2024	As at March 31, 2023
Balance with government authorities	3.05	0.08
Total	3.05	0.08



11. Share capital

	As at March 31, 2024	As at March 31, 2023
Authorized		
175,000,000 (March 31, 2023 : 50,000,000) equity shares of Rs 10/- each	1,750.00	500.00
Issued, subscribed and fully paid up		
149,865,750 fully paid up equity shares of Rs 10/- each (March 31, 2023 : 50,000,000 equity shares of Rs 10/- each)	1,498.66	500.00

11.1 Reconciliation of shares outstanding at the beginning and at the end of the year

Equity Shares	As at March 31, 2024		As at March 31, 2023	
	No.	Rs.	No.	Rs.
At the beginning of the year period	5,00,00,000	500.00	-	-
Add: Shares issued during the year/period	9,98,65,750	998.66	5,00,00,000	500.00
Outstanding at the end of the year	14,98,65,750	1,498.66	5,00,00,000	500.00

11.2 Details of shareholders holding more than 5% equity shares in the Company

	As at March 31, 2024		As at March 31, 2023	
	No. of shares	% holding	No. of shares	% holding
Granules India Limited	14,98,65,750	100%	5,00,00,000	100%

11.3 Rights, preferences and restrictions attached to equity shares

The Company has only one class of equity shares having a par value of Rs 10 per share. Each holder of equity shares is entitled to one vote per share. The Company declares dividends in Indian rupees. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. However, no such preferential amounts exist currently. The distribution will be in proportion to the number of equity shares held by the shareholders.

11.4 Shares held by Promoters

Promoter Name	As at March 31, 2024		As at March 31, 2023	
	No. of Shares	% of total shares	No. of Shares	% of total shares
Granules India Limited	14,98,65,750	100%	5,00,00,000	100%

11.5 Shares issued for consideration other than cash during the period of five years immediately preceding the reporting date

Equity Shares	As at March 31, 2024		As at March 31, 2023	
	No.	Rs.	No.	Rs.
Opening	5,00,00,000	500.00	-	-
Shares issued for consideration other than cash	4,18,65,750	418.66	5,00,00,000	500.00
Outstanding at the end of the year	9,18,65,750	918.66	5,00,00,000	500.00

12. Other equity

Retained earnings

The amount that can be distributed by the Company as dividends to its equity shareholders
(Refer disclosure of other equity in Statement of changes in equity)

13. Provisions

Non-current

	As at March 31, 2024	As at March 31, 2023
Gratuity (refer note 30)	0.11	-
Total	0.11	-

Current

	As at March 31, 2024	As at March 31, 2023
Gratuity (refer note 30)	0.00	-
Total	0.00	-

14. The following is the break-up of current and non-current lease liabilities :

	As at March 31, 2024	As at March 31, 2023
Non-current lease liabilities	176.81	-
Current lease liabilities	5.62	-
	182.43	-

The following is the movement in lease liabilities :

Balance as at January 16, 2023	-
Additions	-
Finance cost accrued for the period	-
Deletions	-
Payment of lease liabilities	-
Balance as at March 31, 2023	-
Additions	178.57
Finance cost accrued for the year	9.44
Deletions	-
Payment of lease liabilities	(5.58)
Balance as at March 31, 2024	182.43

The table below provides details regarding the contractual maturities of lease liabilities on an undiscounted basis:

Particulars	March 31, 2024	March 31, 2023
Less than one year	8.79	-
One to five years	39.79	-
More than five years	627.40	-
Total	675.98	-

i) The Company does not face a significant liquidity risk with regard to its lease liabilities as the current assets are sufficient to meet the obligations related to lease liabilities as and when they fall due.

ii) The effective interest rate for lease liabilities is 8%, with maturity between 2024-2057.



Granules CZRO Private Limited
Notes to Financial Statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

Particulars	For the Year ended March 31, 2024	For the Year ended March 31, 2023
Depreciation expense of right-of-use assets *	12.07	-
Interest expense on lease liabilities *	9.44	-
Total amount recognised in statement of profit and loss	21.51	-

*These expenses capitalised during the year

15. Other financial liabilities

	As at March 31, 2024	As at March 31, 2023
Salaries & bonus payable	11.45	-
Capital creditors	28.07	-
Total	39.52	-

16. Trade payables

	As at March 31, 2024	As at March 31, 2023
Trade payables {refer note (b) below}	-	-
Total outstanding dues of micro enterprises and small enterprises {refer note (a)}	-	-
Total outstanding dues of creditors other than micro enterprises and small	6.33	-
Total	6.33	-

Note (a) :

i)The principal amount and the interest due thereon remaining unpaid to any supplier as at the end of each Principal amount due to micro and small enterprises

Interest due on the above

ii)The amount of interest paid by the buyer in terms of section 16 of the Micro, Small and Medium Development Act (MSMED), 2006 along with the amount of the payment made to the supplier beyond the

iii)The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED

iv)The amount of interest accrued and remaining unpaid at the end of each accounting year.

v)The amount of further interest remaining due and payable in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprises for the purpose of disallowance as a deductible expenditure under section 23 of the MSMED Act, 2006.

The list of undertakings covered under MSMED was determined by the Company on the basis of information available with the Company and has been relied upon by the auditors.

Granules CZRO Private Limited**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

18. Revenue from contract with customers

Particulars	For the Year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Sale of products	0.06	-
Total	0.06	-

The operations of the Company are limited to one segment viz. pharmaceuticals products. Revenue from contract with customers is from sale of manufactured goods. Sale of products are made at a point in time and revenue is recognised upon satisfaction of the performance obligations which is typically upon dispatch / delivery. The Company has a credit evaluation policy based on which the credit limits for the trade receivables are established. There is no significant financing component as the credit period provided by the Company is not significant.

19. Other income

Particulars	For the Year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Interest income on deposits with banks	0.00	-
Total	0.00	-

20. Cost of materials consumed

Particulars	For the Year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Inventory at the beginning of the year	-	-
Add: Purchases	0.98	-
	0.98	-
Less: Inventory at the end of the year	0.73	-
Cost of materials consumed	0.25	-

21. Changes in inventory of work-in-progress and finished goods

Particulars	For the Year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Inventories at the end of the year		
Finished goods	0.02	-
Work-in-progress	-	-
	0.02	-
Inventories at the beginning of the year		
Finished goods	-	-
Work-in-progress	-	-
	-	-
Total	(0.02)	-

22. Employee benefit expenses

Particulars	For the Year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Salaries, wages and bonus (refer note 30)	2.29	-
Staff welfare expenses	0.04	-
Total	2.33	-



Granules CZRO Private Limited**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

23. Depreciation and amortisation expense

	For the Year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Particulars		
Depreciation	0.23	-
Total	0.23	-

24. Other expenses

	For the Year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Particulars		
Travelling and conveyance	0.46	-
Consultancy charges	0.10	-
Communication expenses	0.01	-
Repairs and maintenance-others	0.01	-
Power and fuel	0.01	-
Printing & stationery	0.04	-
Remuneration to statutory auditors (refer note 26)	0.81	-
Rates and taxes	-	4.38
Miscellaneous expenses	0.19	-
Total	1.63	4.38

25. Earning per equity share (EPS)

	For the Year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Particulars		
Earnings		
Loss for the year	(4.36)	(4.38)
Weighted average shares used for computing of basic and diluted EPS	99.97	10.14
Earnings per share		
- Basic (Rs.)	(0.04)	(0.43)
- Diluted (Rs.)	(0.04)	(0.43)

26. Remuneration to statutory auditors

	March 31, 2024	March 31, 2023
Particulars		
As Auditor (excluding GST)		
Statutory audit	0.80	-
Reimbursement of expenses	0.01	-
Total	0.81	-

27. Contingent liabilities and commitments

	As at March 31, 2024	As at March 31, 2023
Particulars		
(i) Contingent liabilities:		
Claims against the company not acknowledged as debt	Nil	Nil

	As at March 31, 2024	As at March 31, 2023
Particulars		
(ii) Commitments		
Estimated amount of contracts remaining to be executed on capital account and not provided for, net of advances	1,015.26	686.00



Granules CZRO Private Limited**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

28. Related party disclosures**28A. Names of related parties and description of relationship**

Name of the related party	Relationship
1. Granules India Limited	Holding Company
Key managerial personnel	
Directors	
Dr. Krishna Prasad Chigurupati	Director
Mrs. Uma Devi Chigurupati (upto March 30, 2024)	Director
Ms. Priyanka Chigurupati (from March 30, 2024)	Director
Mr. Kapil Kumar Mehan (from March 30, 2024)	Director

28B. Transactions during the period

Particulars	March 31, 2024	March 31, 2023
a) Holding company		
i) Granules India Limited		
Investment made*	998.66	500.00
Share application money pending allotment	-	100.00
Reimbursements	6.13	4.38

*Includes shares issued for a consideration other than cash amounting to Rs. 418.66 million (March 31, 2023: Rs. 500.00 million)

28C. Closing Balance

Particulars	March 31, 2024	March 31, 2023
a) Holding company		
i) Granules India Limited		
Investment	1,498.66	500.00
Other payables	-	7.32
Share application money pending allotment	-	100.00

29. Tax expense**(a) Tax expense:****Amount recognised in profit (or) loss**

Particulars	For the year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Current tax	-	-
Deferred tax	-	-
Total tax expense recognised in statement of profit & loss	-	-

Note : The Company elected to exercise the option permitted under section 115BAB of the Income-tax Act, 1961 as introduced by the Taxation Laws (Amendment) Ordinance, 2019.

(b) Reconciliation of effective tax rate:

Particulars	For the year ended March 31, 2024	For the period from January 16, 2023 to March 31, 2023
Loss before tax (A)	(4.36)	(4.38)
Enacted tax rate in India (B)	17.16%	17.16%
Expected tax expenses (C = A*B)	(0.75)	(0.75)
Unrecognised deferred tax assets	0.75	0.75
Tax expense	-	-



Granules CZRO Private Limited
Notes to Financial Statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

30. Employee benefits

a) The Company has a defined benefit gratuity plan as per the Payment of Gratuity Act, 1972. Under this legislation, employee who has completed five years of service is entitled to specific benefit. The level of benefit provided depends on the employee's length of service and salary at retirement/termination age. The gratuity plan is a funded plan and the Company make contributions to a recognised fund in India.

Based on the actuarial valuation obtained in this respect, the following table sets out the status of the gratuity plan and the amounts recognised in the Company's financial statements as at balance sheet date:

	Defined benefit obligation	Fair value of plan assets	Net defined benefit (asset)/liability
Balance as on January 16, 2023	-	-	-
Current service cost	-	-	-
Interest expense/(income)	-	-	-
Amount recognised in Statement of profit and loss	-	-	-
<i>Remeasurements:</i>			
Return on plan assets, excluding amounts included in interest expense/(income)	-	-	-
Actuarial (gain)/loss arising from:			
Demographic assumptions	-	-	-
Financial assumptions	-	-	-
Experience adjustment	-	-	-
Amount recognised in other comprehensive income	-	-	-
Benefits paid	-	-	-
Balance as on March 31, 2023	-	-	-
Current service cost	0.11	-	0.11
Interest expense/(income)	-	-	-
Amount recognised in Statement of profit and loss	0.11	-	0.11
<i>Remeasurements:</i>			
Return on plan assets, excluding amounts included in interest expense/(income)	-	-	-
Actuarial (gain)/loss arising from:			
Demographic assumptions	-	-	-
Financial assumptions	-	-	-
Experience adjustment	-	-	-
Amount recognised in other comprehensive income	-	-	-
Benefits paid	-	-	-
Balance as at March 31, 2024	0.11	-	0.11
	As at March 31, 2024	As at March 31, 2023	
Non-current	0.11	-	
Current	0.00	-	
	0.11	-	

The assumptions used for gratuity valuation are as below:

	For the year ended March 31, 2024	For the year ended March 31, 2023
Interest rate	7.24%	-
Discount rate	7.24%	-
Expected return on plan assets	7.24%	-
Salary increase	8% to 10.0%	-
Attrition rate	15.00%	-
Retirement age - Years	60	-

Assumptions regarding future mortality experience are set in accordance with published statistics and mortality tables.

The weighted average duration of the defined benefit obligation was 11.00 years (March 31, 2023: NA)

The defined benefit plan expose the Company to actuarial risks, such as longevity and interest rate risk.

Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions are as below:

	For the year ended March 31, 2024		For the year ended March 31, 2023	
Particulars	Increase	Decrease	Increase	Decrease
Discount rate	(0.01)	0.01	-	-
Salary increase	0.01	(0.01)	-	-
Attrition rate	(0.00)	0.00	-	-

Sensitivity of significant actuarial assumptions is computed by varying one actuarial assumption used for the valuation of defined benefit obligation by one percentage, keeping all other actuarial assumptions constant. Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumption shown.

Maturity profile of defined benefit obligation

	For the year ended March 31, 2024	For the year ended March 31, 2023
Particulars		
1st Following year	0.00	-
2nd Following year	0.00	-
3rd Following year	0.00	-
4th Following year	0.00	-
5th Following year	0.02	-
After 5 years	0.22	-



Granules CZRO Private Limited
Notes to Financial Statements for the year ended March 31, 2024

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

31. Fair Values

The management assessed that loans, cash and cash equivalents, trade receivables, borrowings, trade payables and other current liabilities approximate their carrying amounts largely due to the short-term maturities of these instruments.

The fair value of the financial assets and liabilities is included at the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

Fair Valuation measurement hierarchy

The following table shows the carrying amounts and fair values of financial assets and liabilities including their levels of fair value hierarchy.

	As at March 31, 2024				Fair Value		
	Carrying amount						
	Mandatorily at fair value through profit and loss (FVTPL)	Fair value through other comprehensive income (FVOCI)	Assets/ liabilities at amortised cost method	Total carrying amount	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
i) Financial assets							
a) Financial assets not measured at fair value							
Trade receivables	-	-	0.08	0.08	-	-	-
Cash and cash equivalents	-	-	27.41	27.41	-	-	-
Other current financial assets	-	-	0.02	0.02	-	-	-
Other non - current financial assets	-	-	0.52	0.52	-	-	-
			28.03	28.03			
ii) Financial liabilities							
a) Financial liabilities not measured at fair value							
Non-current lease liabilities	-	-	176.81	176.81	-	-	-
Trade payables	-	-	6.33	6.33	-	-	-
Other current financial liabilities	-	-	39.52	39.52	-	-	-
Current lease liabilities	-	-	5.62	5.62	-	-	-
			228.28	228.28			

	As at March 31, 2023				Fair Value		
	Carrying amount						
	Mandatorily at fair value through profit and loss (FVTPL)	Fair value through other comprehensive income (FVOCI)	Assets/ liabilities at amortised cost method	Total carrying amount	Quoted prices in active markets (Level 1)	Significant observable inputs (Level 2)	Significant unobservable inputs (Level 3)
i) Financial assets							
a) Financial assets not measured at fair value							
Cash and cash equivalents	-	-	95.13	95.13	-	-	-
			95.13	95.13			

32. Financial risk management
Framework

The Company is exposed primarily to Credit Risk, Liquidity Risk and Market risk (fluctuations in foreign currency exchange rates and interest rate), which may adversely impact the fair value of its financial instruments. The Company assesses the unpredictability of the financial environment and seeks to mitigate potential adverse effects on the financial performance of the Company.

Credit risk

Credit risk is the risk that counterparty will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. Credit risk encompasses of both, the direct risk of default and the risk of deterioration of creditworthiness as well as concentration of risks. Credit risk is controlled by analyzing credit limits and creditworthiness of customers on a continuous basis to whom the credit has been granted after obtaining necessary approvals for credit. Financial instruments that are subject to concentrations of credit risk principally consist of trade receivables, cash and cash equivalents, bank deposits and other financial assets. None of the financial instruments of the Company result in material concentration of credit risk, except for trade receivables.

Ind AS requires expected credit losses to be measured through a loss allowance. The Company assesses at each date of statements of financial position whether a financial asset or a group of financial assets is impaired. Expected credit losses are measured at an amount equal to the 12 month expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition. The Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience and adjusted for forward-looking information. Company's exposure to customers is diversified. The maximum exposure to credit risk was Rs. 0.62 millions and Rs. Nil millions as of March 31, 2024 and March 31, 2023 respectively, being the total of the carrying amount of financial assets.

Credit risk on financial assets, except trade receivables is limited as the company generally transacts with banks and financial institutions with high credit rating assigned by international and domestic credit rating agencies.

Liquidity risk

Liquidity risk refers to the risk that the Company cannot meet its financial obligations. The objective of liquidity risk management is to maintain sufficient liquidity and ensure that funds are available for use as per requirements. The Company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of financial assets and liabilities.



Granules CZRO Private Limited**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

The table below provides details regarding the undiscounted contractual maturities of significant financial liabilities as of March 31, 2024:

Particulars	Carrying value	Less than 1 year	1-2 years	2-5 years	>5 years	Total
Lease liability	182.43	8.79	9.23	30.56	627.40	675.98
Trade payables	6.33	6.33	-	-	-	6.33
Other financial liabilities	39.52	39.52	-	-	-	39.52

The table below provides details regarding the undiscounted contractual maturities of significant financial liabilities as of March 31, 2023:

Particulars	Carrying value	Less than 1 year	1-2 years	2-5 years	>5 years	Total
Lease liability	-	-	-	-	-	-
Trade payables	-	-	-	-	-	-
Other financial liabilities	-	-	-	-	-	-

Market Risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Such changes in the values of financial instruments may result from changes in the foreign currency exchange rates, interest rates, credit, liquidity and other market changes.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of change in market interest rates.

Foreign Currency exchange rate risk

The fluctuation in foreign currency exchange rates may have potential impact on the statement of profit or loss and other comprehensive income and equity, where any transaction references more than one currency or where assets / liabilities are denominated in a currency other than the functional currency of the respective entities. Considering the countries and economic environment in which the Company operates, its operations are subject to risks arising from fluctuations in exchange rates in those countries.

Commodity rate risk

Exposure to market risk with respect to commodity prices primarily arises from the Company's purchases and sales of active pharmaceutical ingredients, including the raw material components for such active pharmaceutical ingredients. These are commodity products, whose prices may fluctuate significantly over short periods of time. The prices of the Company's raw materials generally actuate in line with commodity cycles, although the prices of raw materials used in the Company's active pharmaceutical ingredients business are generally more volatile. The cost of raw materials forms the largest portion of the Company's operating expenses. Commodity price risk exposure is evaluated and managed through operating procedures and sourcing policies. As of March 31, 2024, the Company had not entered into any material derivative contracts to hedge exposure to fluctuations in commodity prices.

33. Capital management

For the purpose of the Company's capital management, capital includes issued equity capital, share premium and all other equity reserves attributable to the equity holders. The primary objective of the Company's capital management is to maximise the shareholder value.



Granules CZRO Private Limited**Notes to Financial Statements for the year ended March 31, 2024**

(All amounts are in Indian Rupees Millions except share data and unless otherwise stated)

34. Financial Ratios

Ratio	Numerator	Denominator	March 31, 2024	March 31, 2023
Current Ratio	31.31	52.87	0.59	NA
Debt Equity Ratio	NA	NA	NA	NA
Debt Service Coverage Ratio	NA	NA	NA	NA
Return on Equity Ratio	(4.36)	1,037.58	-0.42%	NA
Inventory Turnover Ratio	0.06	0.75	0.08	NA
Trade Receivables Turnover Ratio	0.06	0.08	0.75	NA
Trade Payables Turnover Ratio	0.98	6.33	0.15	NA
Net capital turnover ratio	0.06	(21.56)	(0.00)	NA
Net profit ratio	(4.36)	0.06	-7266.67%	NA
Return on Capital employed	(4.36)	1,064.78	-0.41%	NA
Return on investment-Treasury	NA	NA	NA	NA

Basis for Calculating above Ratios as below

1. Current Ratio	Current Assets/Current liabilities
2. Debt Equity Ratio	Total Debt/Shareholder's Equity
3. Debt Service Coverage Ratio	Earnings available for debt service /Debt Service
4. Return on equity	Net Profit after Tax/Average Shareholder's Equity
5. Inventory Turnover Ratio	Revenue from operations/Average Inventory
6. Trade Receivables Turnover Ratio	Revenue from operations/Average Trade Receivable
7. Trade Payables Turnover Ratio	Net Purchases/Average Trade Payables
8. Net Capital Turnover Ratio	Revenue from operations/Working Capital (Current assets less Current liabilities)
9. Net Profit Ratio	Net Profit /Revenue from operations
10. Return on Capital Employed	Earnings before interest and Tax/Average Capital Employed (Total assets less Current liabilities less cash and cash equivalents plus current borrowings)
11. Return on investment - Treasury	Interest generated from Invested funds/ Average invested funds in treasury

35. Other Statutory information

- i) There are no proceedings initiated or pending against the Company as at March 31, 2024, under Prohibition of Benami Property Transaction Act, 1988 and rules made thereunder (As amended in 2016)
- ii) The Company does not have any transactions with companies struck off as per Section 248 of the Companies Act, 2013 and Section 560 of the Companies Act, 1956.
- iii) The Company does not have any charges or satisfaction which is yet to be registered with ROC beyond the statutory period.
- iv) The Company has not traded or invested in Crypto currency or Virtual Currency during the financial year
- v) The Company has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or (b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.
- vi) The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or (b) provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- vii) The Company does not any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961.
- viii) The Company has complied with the relevant provisions of the Foreign Exchange Management Act, 1999 (42 of 1999) and the Companies Act for the above transactions and the transactions are not violative of the Prevention of Money-Laundering Act, 2002 (15 of 2003).

36. Subsequent event

No significant subsequent events have been observed till May 15, 2024 which may require any additional disclosure or an adjustment to the financial statements.

As per our report of even date attached

for S.R. Batliboi and Associates LLP

Chartered Accountants

Firm registration number: 101049W/E300004

Navneet Kabra

Partner

Membership No: 102328



Place: Hyderabad

Date: May 15, 2024

for and on behalf of the Board of Directors of

Granules CZRO Private Limited

CIN : U24110TG2023PTC170481

Dr. Krishna Prasad Chigurupati

Director

DIN : 00020180

Mukesh Surana

Chief Financial Officer

Place: Hyderabad

Date: May 15, 2024

Priyanka Chigurupati

Director

DIN : 01793431

Chaitanya Tummala

Company Secretary

